GreenCart Case Competition 2026: Problem Statement. GreenCart is a five-year-old online grocery delivery company operating in six metropolitan cities. It has 1.2 million monthly active customers and an average order value of 1,450 rupees, but its contribution margin per order is still negative in two of its six cities. The board is considering expanding into twelve tier-2 cities over the next eighteen months. Expansion would require an estimated investment of 380 crore rupees in dark stores, cold-chain logistics and marketing. Participants must answer three questions. First, should GreenCart expand now, delay, or not expand at all? Second, if it expands, which three cities should it enter first and why? Third, what operational changes are needed to make unit economics positive within two years? Support your answer with clear assumptions and numbers. Submissions are limited to four pages. Cite all external sources.
Our case for expansion rests on three numbers. Online grocery penetration in tier-2 cities is 4.1% today against 11.8% in the metros, so the headroom is bigger than most people assume. Commercial land costs run at 40% of metro rates, and rider wages are 18% lower outside the six big cities.
The catch is basket size. Our Kota pilot showed an average order value of 980 rupees against 1,450 in Delhi, because customers use the app as a top-up channel there. We compensate with a 25 rupee basket fee under 700 rupees, plus staples bundles, which lifted Kota's AOV by 21% in six weeks.
Comitted plan: three cities in nine months, Bhopal, Vadodara and Dehradun. Each dark store needs roughly 1.1 crore of fitout plus 40 lakh of cold-chain capex, and local hiring of 34 riders and 11 store staff. Every site sits within 2.5 km of a wholesale mandi to shorten inbound replenishment.
Per-store break-even lands near 520 orders a day by month eight in our model, sensitive mainly to fuel price and rider incentive. A 12% rise in diesel pushes that to month ten. We hold 15% contingency in the 380 crore ask for exactly this.
We are ready, the sites are scouted and costed. One honest caveat: our cold-chain vendor has only operated in north India so far, so Vadodara should carry a separate vendor audit before the money is released for phase one.